

ECONOMY — Basics of Economy & Microeconomics

Batch 1/10 · Parmar Ch.1-2 (full) + Lucent §2 (full) + PYQ bucket "01 Fundamental Principles of Economy" (47Qs) · ★=PYQ-tested · [B]=PYQ-book-only fact, not in Parmar/Lucent

1 Economics — Basic Definitions

Economics → study of limited resources → produce/distribute/consume goods+services. Divided: **Macro** ↔ **Micro**.

	Macroeconomics	Microeconomics
Studies	economy as a whole	individual consumers/firms/markets
Approach	top-down	bottom-up
Focus	govt/country actions → aggregate demand/supply, prices	individual/firm actions → demand/supply
Scope	large-scale, entire economy	small-scale, specific sector
Father ★	J.M. Keynes (England) → <i>General Theory of Employment, Interest & Money</i>	Adam Smith → <i>Wealth of Nations</i>
Examples	GDP, inflation, fiscal policy, national income, unemployment rate	product pricing, consumer behaviour, market competition

2 Economic Systems

Classified by → Ownership / Motive / Govt Role.

	Capitalist	Socialist	Mixed
Ownership	Private	Public/State	Public+Private
Motive	Profit	Social welfare	Both
Govt role	None	Complete	Limited
Income distrib.	Unequal (high)	Equal (theory)	Less unequal
Econ. freedom	Complete	None	Limited
Example	USA	USSR, N.Korea	India

Socialist = **Centrally Planned Economy** ★ → govt controls production/exchange/consumption, eg USSR [B: primary objective = social welfare, not profit; also called this because central authority takes all major decisions].

Spillover Effect → macro concept, event in one econ part/world impacts others → eg US Depression → spread globally.

HOOK Mixed economy [B]: both public+private coexist ★; market forces free in private sector, govt controls social-welfare/strategic sectors ★ (NOT "only private," "only public," or "only foreign" — tested distractors). India 1947-90 [B] → mixed economy → public sector = social welfare prominence + regulated private sector ★; post-1991 → shift to market-oriented policies ★.

TRAP Centrally planned economy A-R [B]: "govt decides all production/exchange/consumption" → TRUE ★; "market economy restricted to face-to-face physical marketplaces" → FALSE ★ (e-commerce/internet trade exists — tested A-R).

Govt's basic economic role (developed+developing) [B] ★ → **framing laws + delivering justice** → lets market function smoothly (NOT just regulating firms/promoting exports/currency exchange — tested distractors).

3 Key Historical Figures

Economist	Known as	Key work	Core ideas
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Adam Smith ★	Father of Micro/Modern Economics	Wealth of Nations (1776)	Invisible Hand → markets self-regulate via D&S ★; Market Economy → self-interest ("Animal Spirit," Keynes' term) → collective welfare; Laissez-faire → min govt interference
Alfred Marshall	Father of Microeconomics	Principles of Economics (1890)	Modern D&S theory; elasticity of demand, consumer surplus, partial equilibrium
J.M. Keynes ★	Father of Macroeconomics	General Theory of Employment, Interest & Money (1936)	Govt intervention needed → manage "Animal Spirits," revive economy in downturns; fiscal policy + public spending → ↑ demand/employment

Scarcity def of Economics ★ → by **Lionel Robbins ★** [B: 1932 book *An Essay on the Nature and Significance of Economic Science*] → science of human behaviour ↔ limited resources vs unlimited wants (alternative uses).

Quotes: "Animal spirits" → J.M. Keynes. "Managing animal spirits needs active govt role" → Robert J. Shiller (Nobel laureate). "Revive animal spirit in economy" → Manmohan Singh.

HOOK Invisible Hand ★ [B] → self-interest → market equilibrium via D&S, resource allocation w/o govt intervention (NOT monopoly control/govt control/trade regulation — tested distractors).

4 Classification of Goods

2 criteria → **Excludability** (can non-payers be excluded?) + **Rivalry** (does one's use reduce another's?).

- Excludable → must pay (ticket) | Non-excludable → can't prevent use (air, free YouTube)
- Rivalrous → my use blocks yours (apple, limited-edition car) | Non-rivalrous → doesn't (sunset, breathing) [B: reinforced — street light example]

	Rivalrous	Non-Rivalrous
Excludable	Private Goods → paid, ↓ availability for others → food, clothing, cars, parking	Club Goods → paid, shared w/o ↓ supply → cinemas, private parks, Netflix
Non-Excludable	Common Pool Resources → free, finite/depletable → fish stock, forest timber, coal	Public Goods ★ → free to all, non-rivalrous/non-excludable ★ → national defence, street lights, free-to-air TV

TRAP Public goods ★ [B]: correct statement = "benefits available to all" ★; NOT "clothes are a public good," NOT "provided via market mechanism," NOT "via individual buyer-seller transactions" (tested distractors — public goods bypass market provision).

Opportunity Cost → value of next-best alternative given up. Natural resources (sunlight) → zero opp. cost. **Free Rider Problem** → benefiting from public good w/o paying (street light w/o tax).

5 Sectors of the Economy — By Nature of Activity

Sector	Collar	Nature	Examples
Primary ★	Red	Directly env-dependent; "backbone of Indian economy" [B: also = natural-resource extraction/consumption, raw material supplier to Secondary]	Agri, fishing, hunting, forestry, mining
Secondary ★	Blue	= Manufacturing Sector; adds value to raw materials → "backbone of a country" (eg China); India → underdeveloped here (leaped to tertiary) [B: oil extraction from groundnut = Secondary, since it's processing/mfg not raw extraction]	Manufacturing, processing, construction, electricity
Tertiary	White	= Service Sector; mostly intangible	Teaching, transport, advertising, retail, hospitality, healthcare
Quaternary	—	= Knowledge Sector; knowledge-based/intellectual	Business Exec, Teaching, Manager, Banking, CA, Lawyer, Scientists

Quinary	Gold	High-level, decision-making	Media, Financial Services, Education, Research Scientists, IT, Policy makers, Politicians
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British-era: ~85% lived in villages, 70-75% agri-dependent (direct/indirect).

2011 Census ★: LFPR → Primary 54.6% (highest) / Secondary 24.3% / Tertiary 21.1%. %GDP → Primary 14.39% / Secondary 31.46% / Tertiary 54.15% (highest). Women in Primary Sector = 62.8%.

6 Sectors — By Employment & Ownership

	Organized	Unorganized
Employment	Regular	Small/scattered, outside govt control
Regulation	Registered; Factories Act, Min Wages Act, Gratuity, Shops & Establishments Act	No rules/regulations followed
Pay	Prescribed scale, regular/on-time	Low, irregular
Benefits	PF, paid leave/holidays, gratuity, medical, safe conditions	None (no OT/leave/sick pay)
Unions	Can form	Cannot

E-Shram Portal (2021) → National Database of Unorganised Workers (NDUW), Aadhaar-seeded.

Real Sector → actual goods/services production (land, labour). **Financial Sector** → financial assets (mutual funds, stocks, banking).

	Public Sector ("for society")	Private Sector ("for profit")
Def	Govt-owned orgs/services	Owned by individuals/companies
Examples	BHEL, SAIL, ONGC	Reliance, etc.
Focus	Tax-funded, public welfare, non-profit	Profit-driven, competitive, market-oriented
Benefits	Equal access, stability	Innovation, efficiency
Challenges	Public goods (funding burden)	Job insecurity

7 Normative vs Positive Economics & Parallel Economy

Normative	Positive
Opinion/value-based; not verifiable; idealistic; eg "unemployment must be $\leq 5\%$ "	Data/fact-based; verifiable; realistic; eg "current unemployment = 20%"

Parallel Economy → black-income generation, unaccounted (eg trafficking, illegal activity income).

8 Scarcity, Choice & PPF

Fundamental problem → scarcity (limited money/land/labour/time) vs unlimited wants → forces choice on resource allocation.

Production Possibility Frontier (PPF/PPC) → graph of max combos of 2 goods producible using available resources+tech, all resources used efficiently. Eg: ₹6000 → 6 pairs shoes OR 6 pairs jeans (all-or-mix).

Slope → downward/negative (trade-off: more of one = less of other). **MRT (Marginal Rate of Transformation)** = slope of PPC → amount of good sacrificed for 1 more unit of other.

On curve → full resource use | Under curve → under-utilisation | Beyond curve → not achievable.

Opportunity Cost → value of what's given up (eg buy jeans → shoes = opp. cost). **Free Goods** (air, sunlight) → zero opp. cost (abundant, no sacrifice needed).

9 Utility, Indifference Curve & Marginal Concepts

Utility → satisfaction from consumption. **Cardinal Utility** → numerical/quantitative, less realistic |

Ordinal Utility → ranked/qualitative, more realistic.

Indifference Curve (IC) → combos of 2 goods giving same satisfaction. Eg: (1 food+12 clothing) ~ (2 food+6 clothing) → same IC.

IC properties: convex to origin (rectangular hyperbola) [B: convexity = diminishing MRS]; slope = **MRS** (Marginal Rate of Substitution, formula: $\Delta \text{sacrifice} / \Delta \text{gain}$); 2 ICs never intersect.

Marginal Utility → extra satisfaction from 1 more unit. **Marginal Product (MP)** → extra output from 1 more input unit. **Marginal Cost (MC)** → $\Delta \text{total cost}$ from 1 more unit. **Marginal Revenue (MR)** → extra income from selling 1 more unit.

AFC (Average Fixed Cost) → total fixed cost (rent) ÷ output → curve downward-sloping. **AVC (Average Variable Cost)** → variable costs (raw material) vs output → curve U-shaped ★ [B: U-shape reason = Law of Variable Proportions ★]. $AVC + AFC = ATC$.

HOOK Law of Diminishing Marginal Utility ★ → each extra unit → ↓ additional satisfaction, ceteris paribus [B: propounded by **Hermann Heinrich Gossen** ★]. Graph: Zero MU = Point of Satiation; beyond → Negative MU.

Isoquant → combos of inputs (labour+capital) → same output; slope = **MRTS** (Marginal Rate of Technical Substitution).

10 Demand, Supply & Equilibrium

Demand → qty willing+able to buy at a price, in a period. **Law of Demand** → inverse price-qty relation, holds only if: income constant, other-goods' price constant, no preference change (Ceteris Paribus).

Movement on curve → price change | **Shift** of curve → other factors change (income/preference/related-good price). Rightward shift = demand ↑ | Leftward = demand ↓.

TRAP Exceptions to Law of Demand ★: **Giffen Goods** ★ → inferior/non-luxury, demand ↑ as price ↑ (no better alternative available); eg wheat price rise [B: income-effect reasoning — spends large income share on it, price ↑ → drops other items, MORE dependent on it, aka Giffen Paradox ★]. **Veblen Goods** ★ → luxury, demand ↑ as price ↑ (status symbol); eg iPhone, Mercedes. NOT exceptions: Substitute goods ★ [B — tested "which is NOT an exception"].

Demand function [B] → math relationship price↔qty; **demand curve** [B] → its graphical form, slopes down (Law of Demand).

Ex-Ante Aggregate Demand → intended expenditure; $AD = C(\text{intended consumption}) + I(\text{intended investment})$ [simplified, Parmar]. **Full macro identity** [B] ★: $AD = C + I + G + (X - M)$ ★ (consumption+investment+govt spending+net exports).

Equilibrium: $AD = AS$. $AD > AS$ → output ↑ | $AD < AS$ → inventory buildup → output ↓.

HOOK Single-commodity-as-aggregate-good (macro simplification) A-R [B] ★: Assertion (simplifies aggregate D/S analysis) = TRUE ★; Reason ("all goods behave identically under inflation") = FALSE ★ (real economy: some prices rise fast, others stable/fall) — tested "A true, R false."

Supply → amount available for purchase/use. **Supply curve** → price vs qty producers willing to supply; upward/positive sloping (producers maximise profit → more supply at better price).

Equilibrium = DnS curve intersection → equilibrium price/market-clearing price, $Q_d = Q_s$. Shifts if any factor shifts. Demand ↓ → shift left | Demand ↑ → shift right.

TRAP Market equilibrium statements [B] ★: "Qty firms want to sell = Qty consumers want to buy" → CORRECT ★. "Excess supply = demand > supply" → WRONG ★ (that's *excess demand*; excess supply = supply > demand — tested statement-pair).

11 Elasticity — Price, Income & Cross-Price

Price Elasticity of Demand: $E_d = \% \Delta \text{demand} / \% \Delta \text{price}$ ★ [B: eg price+10%, qty-20% → $E_d = 2$ → Elastic Demand ★].

Type	Meaning	Example
Perfectly Elastic ★	$e = \infty$; tiny price ↑ → demand to zero	Gold, cars (as printed — flagged inconsistent w/ Perfect Competition's own "perfectly elastic" claim elsewhere)

Relatively Elastic	small price Δ $\rightarrow$ large qty Δ ; $ed > 1$	—
Perfectly Inelastic	qty fixed regardless of price; $ed = 0$	Water, wheat, rice
Relatively Inelastic	qty $\Delta <$ price Δ ; $ed < 1$	—
Unitary Elastic	rectangular hyperbola; $ed = 1$; proportional Δ ; TR at max ★ (MR=0 at this point ★)	—

Income Elasticity: = $\% \Delta \text{qty demanded} / \% \Delta \text{real income}$. **Luxury Goods** $\rightarrow IE > 1$ (positive), demand rises more than income; eg luxury cars, designer clothes. **Inferior Goods** $\rightarrow IE < 0$ (negative), demand falls as income rises; eg low-quality foodgrains, public transport.

Cross-Price Elasticity $\rightarrow$ price Δ of Good A $\rightarrow$ demand Δ of Good B. Eg: Pepsi price +10% $\rightarrow$ Coke demand +5%. Negative cross-price elasticity = **Complementary Goods** ($P_y \uparrow \rightarrow Q_y \downarrow \rightarrow Q_x \downarrow$, consumed together).

Substitute Goods	Complementary Goods
Used in place of each other; competitive demand; price(A) $\uparrow \rightarrow$ qty demanded(B) $\uparrow$ (positive relation); eg tea $\leftrightarrow$ coffee, coke $\leftrightarrow$ pepsi	Used together; joint demand; price(A) $\uparrow \rightarrow$ qty demanded(B) $\downarrow$ (negative relation); eg tea + sugar, car + petrol

HOOK Substitute goods (tea/coffee) [B] $\rightarrow$ follow Law of Demand normally (price $\uparrow$ tea $\rightarrow$ demand shifts to coffee) — distinguish from Giffen/Veblen exceptions.

Elasticity of Supply [B] ★: $E_s = \% \Delta \text{qty supplied} / \% \Delta \text{price}$ ★. $E_s > 1 \rightarrow$ **Relatively Elastic Supply** ★ (proportionate supply $\Delta >$ price Δ).

12 Returns, Costs & Profit Concepts

HOOK Law of Diminishing Returns $\rightarrow$ after a point, extra input $\rightarrow$ smaller output gains; applies in short-run (≥ 1 fixed factor). Graph zones: Most Productive $\rightarrow$ Point of Diminishing Returns $\rightarrow$ Diminishing Returns $\rightarrow$ Point of Max Yield $\rightarrow$ Negative Returns. [B: aka **Law of Variable Proportions** ★ — 3 stages: (1) MP rises w/ input, (2) MP falls after a point, (3) MP turns negative ★ — matched to AVC's U-shape.]

Returns to Scale [B] ★ (long-run, all inputs vary):

Type	Meaning
Increasing (IRS) ★	Output $\uparrow >$ proportional input $\uparrow$ (eg inputs +50% $\rightarrow$ output +75% ★)
Constant (CRS)	Output $\uparrow =$ proportional input $\uparrow$
Decreasing (DRS)	Output $\uparrow <$ proportional input $\uparrow$

Economies of Scale [B] ★ $\rightarrow$ large-scale production $\rightarrow$ $\downarrow$ avg cost/unit (fixed costs spread over more units, bulk raw-material discount, division of labour) — distinct concept from Returns to Scale.

Abnormal Profit $\rightarrow$ profit above opp. cost of factor inputs. **Optimum Profit** ★ $\rightarrow$ max profit where $MR = MC$ ★ [B: NOT the break-even point]. **Regulated Profit** $\rightarrow$ govt-set max earnings/price/ROR, prevents monopoly abuse.

Bandwagon Effect (Demonstration Effect) $\rightarrow$ demand $\uparrow$ because others consume it; eg new phone everyone's buying. **Snob Effect** ★ $\rightarrow$ opposite; demand $\downarrow$ as good becomes common, consumer wants exclusivity ★; eg limited-edition watch.

TRAP Snob vs Bandwagon/Demonstration vs Veblen [B] ★: Snob = demand $\downarrow$ as good becomes common (exclusivity-seeking) ★; Bandwagon/Demonstration = imitate others' consumption ★; Veblen = demand $\uparrow$ from high price itself (status symbol) ★ — 3-way distinction, frequently confused.

Cost type	Meaning	Example
Fixed Cost	Constant regardless of output	Rent, licence, registration
Variable Cost	Fluctuates with output	Raw materials, shipping
Explicit Cost	Direct payment to others	Wage, rent, materials
Sunk Cost	Past cost, unrecoverable	Advertising, legal/accounting fees

Break-Even Point ★ → $TR=TC$ ★, no profit/no loss [B: confirmed distinct from $MR=MC$ which is optimum-profit point]. **Production Function** → input-output relationship.

13 Market Structures

Type	Sellers	Product	Entry	Elasticity	Example
Monopoly ★	One	No substitutes	High barriers	—	Indian Railways
Oligopoly	Few large firms	Similar/differentiated	No easy entry	—	Telecom, laptops
Monopolistic Competition	Many	Differentiated	Easy entry/exit	Highly elastic (not perfect)	Toothpaste
Perfect Competition ★	Many	Homogeneous	No barriers	Perfectly elastic ($ed=\infty$) ★	Agri products

14 Macroeconomic Concepts — MPC, Autonomous Expenditure

MPC (Marginal Propensity to Consume) = $\Delta C/\Delta Y$; $0 < MPC < 1$; ↓ at higher income. Eg: income + ₹10,000, spend + ₹1,000 → $MPC=0.1$.

Autonomous Expenditure → spending independent of income. Formula: $C=A+cY$ (A=autonomous consumption, $c=MPC$, Y =income). $Savings=1-c$. **Multiplier**= $1/(1-c)$. $MPC+MPS=1$.

Capital Formation [B] ★ → part of income used for investment (machinery/buildings/infra) instead of consumption → "net investment" ★ → ↑ future productive capacity (NOT ↓ FDI, ↑ consumer credit, or ↑ financial savings — tested distractors).

15 Lucent §2 — Economy, Economics & Economic Systems

Economy → state of a country: production/consumption/money supply. **Economics** → branch of knowledge: production/consumption/transfer of wealth. 3 systems evolved as historical stages.

Capitalistic Economy ← Adam Smith's *Wealth of Nations* (1776) [Adam Smith 1723-1790, Glasgow professor] → against heavy govt regulation → stressed division of labour, laissez-faire, invisible hand/market forces + need for competition. USA adopted (1 yr post-book) → by 1800 established globally as capitalism, aka Private Enterprise/Free Enterprise/Market Economy System. Production/qty/price decided by market/private enterprise; no state economic role.

State Economy ← Karl Marx (1818-1883) → first in USSR post-Bolshevik Revolution 1917 → ideal form in PRC 1949. Two versions: USSR=**Socialist** Economy (collective ownership, large state role) | pre-1985 China=**Communist** Economy (state owns ALL property incl. labour, absolute state power). Marx: socialism = transition stage → communism (never realized). Capitalist economies mocked socialist/communist ones as "state capitalism" (state = sole exploiter).

Mixed Economy ← Great Depression 1929 → Smith's self-correcting-market belief collapsed → US→W.Europe spread → unemployment, demand fall, lockouts. → Keynes' *General Theory* (1936), Cambridge economist (1883-1946) → questioned laissez-faire/invisible hand ("strangulates the poor," wages/prices not flexible enough for full employment) → proposed strong govt intervention: ↑ govt expenditure, discretionary fiscal policy (fiscal deficit, ↓ interest rates, cheap money supply) → pulled economies out of Depression → led to govt's active economic role → essential goods made free by state → Mixed Economy born.

Prof. Oscar Lange (1904-65, Polish) → 1950s → suggested capitalist-style reforms for socialist economies (parallel to Keynes for capitalism) → coined '**Market Socialism**' → rejected by state economies (seen as compromise toward democracy, "blasphemous" then).

Book/Theory	Author
The Wealth of Nations	Adam Smith
Money Illusion	Irving Fisher (printed "Irwin")
Capital and Growth	J.R. Hicks
General Theory of Employment, Interest and Money	J.M. Keynes
A Discourse on Political Economy	Jean-Jacques Rousseau

Planned Economy for India	M. Visvesvaraya
The Value and Capital	J.R. Hicks
The Canon of Consumer's Surplus	Marshall
Big Push Theory	A.R. Rodon (printed; usually P.N. Rosenstein-Rodan)
Datt & Sundharam's Indian Economy	Gaurav Datt & Ashwani Mahajan

16 Economic Growth vs Development

Economic Growth → ↑ econ variables over time → quantifiable (IMF/WB yardstick). Measured in: tonnes (food), km (roads), currency (production value), monetary terms (per capita income). Growth rate = annual concept, % of period-difference. Value-neutral but used positively by convention; negative case = "negative growth."

FY24-25 data: Q2 real GDP growth 5.4% (vs 8.1% Q2 FY23-24); H1 real GVA growth 6.2%; Real GDP Q2 FY25=₹44.10 lakh cr (vs ₹41.86 lakh cr); Nominal GDP Q2 FY25=₹76.60 lakh cr (vs ₹70.90 lakh cr, +8.0%). Retail inflation (CPI Combined, base 2012=100): 5.4% (2023-24) ↓ from 6.7% (2022-23); avg 4.8% (Apr-Oct FY25).

GDP growth Q1/Q2 FY25 = 6.7%/5.4% (2011-12 constant prices); H1 real GDP growth=6.0%. PFCE H1 FY25 growth=6.7% YoY (rural demand signals: 2/3-wheeler + tractor sales). NABARD survey (Jan 2025): 78.5% rural households reported ↑ consumption expenditure.

Manufacturing: industrial sector H1 FY25=6% (Q1=8.3%, Q2 moderated — oil/steel/cement sector challenges); Mfg PMI Dec 2024 = expansionary; RBI Industrial Outlook Survey → improved demand Q3/Q4 FY25. Services: H1 FY25=7.1%; PMI services expansionary; hospitality/air cargo/port/IT sectors performed well.

DOUBT All FY24-25 growth/inflation figures above are time-sensitive (BHARAT 2025/Economic Survey 2024-25/RBI Bulletin Dec 2024 sourced) — will not reflect current (Sept 2026) data; verify before relying.

Economic Development → pre-1950s: growth=development conflated. 1960s+: divergence noted (high growth ≠ high quality of life). Development variables: nutrition level, healthcare reach (hospitals/medicine/water/vaccination/sanitation), education level. Growth = precondition for development (income needed to fund quality-enhancing inputs); higher growth ≠ automatic higher development.

Appendix

A.1 — PYQ citation index (bucket "01 Fundamental Principles of Economy", 47 Qs)

Fact tested	Exam · Date · Shift
PESTAL: E=Economic	SSC CPO Tier-I, 12/12/2025 (Sh-01)
TR maximised at $Ed=1$	SSC CPO Tier-I, 11/12/2025 (Sh-01)
Public goods = benefits available to all	SSC CHSL Tier-I, 14/11/2025 (Sh-03)
Elasticity calc (10% ↑ price, 20% ↓ qty → $Ed=2$)	SSC CGL Tier-I, 17/09/2025 (Sh-03)
Single-commodity-aggregate A-R	SSC CGL Tier-I, 20/09/2025 (Sh-02)
Opportunity cost = next best alternative	SSC CGL Tier-I, 20/09/2025 (Sh-01)
Snob effect definition	SSC CGL Tier-I, 25/09/2025 (Sh-02)
Break-even = $TR=TC$	SSC CGL Tier-I, 14/10/2025 (Sh-02)
Scarcity def = Lionel Robbins	SSC CGL Tier-I, 26/09/2025 (Sh-03)
Invisible hand = market equilibrium via self-interest	SSC Stenographer, 07/08/2025 (Sh-03)
Macroeconomic indicator = unemployment rate	SSC Phase XIII, 28/07/2025 (Sh-01)
Aggregate demand = $C+I+G+(X-M)$	SSC Phase XIII, 24/07/2025 (Sh-01)
Barter/double coincidence A-R	SSC Phase XIII, 29/08/2025 (Sh-01)
"What to produce" = capital vs consumer goods	SSC Stenographer, 08/08/2025 (Sh-03)
AVC U-shaped, Law of Variable Proportions	SSC Stenographer, 07/08/2025 (Sh-02)

Opportunity cost concept (repeat)	SSC Stenographer, 06/08/2025 (Sh-02)
Elasticity of supply formula	SSC Phase XIII, 30/07/2025 (Sh-03)
NOT exception to Law of Demand = substitute goods	SSC Phase XIII, 25/07/2025 (Sh-03)
Returns to scale (50%input→75%output=IRS)	SSC Phase XIII, 29/08/2025 (Sh-02)
Economies of scale definition	SSC Phase XIII, 02/08/2025 (Sh-02)
Diminishing Marginal Utility (LDMU) statement	SSC Stenographer, 06/08/2025 (Sh-01)
Match: Law of Demand/Diminishing MP/Variable Proportions	SSC Stenographer, 06/08/2025 (Sh-01)
Scarcity problem = limited resources, unlimited wants	SSC Stenographer, 07/08/2025 (Sh-01)
Capital formation definition	SSC Stenographer, 06/08/2025 (Sh-03)
Demand curve = graphical demand function	SSC PHASE XIII, 26/07/2025 (Sh-02)
LDMU explained (Gossen)	SSC Phase XIII, 29/07/2025 (Sh-02)
Demand function → demand curve terminology	SSC CHSL Tier-I, 12/11/2025 (Sh-02)
Opportunity cost = best alternative forgone	SSC CPO Tier-I, 10/12/2025 (Sh-02)
Law of demand statement (ceteris paribus)	SSC CGL Tier-I, 25/09/2025 (Sh-01)
India 1947-90 = mixed economy	SSC Phase XIII, 29/08/2025 (Sh-02)
Centrally planned vs market economy A-R	SSC Phase XIII, 29/07/2025 (Sh-02)
Bhutan = first GNH-over-GDP country	SSC Phase XIII, 28/07/2025 (Sh-02)
Macro-Micro pairing = Macro-National Income	SSC Stenographer, 08/08/2025 (Sh-01)
Indian economy 1947-90 system	SSC Phase XIII, 29/08/2025 (Sh-02)
Primary sector = natural resource extraction	SSC CHSL Tier-I, 19/11/2025 (Sh-03)
Non-rivalrous definition	SSC CHSL Tier-I, 18/11/2025 (Sh-03)
Oil from groundnut = secondary sector	SSC CHSL Tier-I, 20/11/2025 (Sh-02)
Primary sector concern = agri/mining/fishing	SSC Phase XIII, 24/07/2025 (Sh-02)
Mixed economy Five-Year-Plan feature	SSC CPO Tier-I, 09/12/2025 (Sh-01)
Socialist economy = centrally planned	SSC CPO Tier-I, 13/12/2025 (Sh-01)
Mixed economy definition (both sectors coexist)	SSC CGL Tier-I, 19/09/2025 (Sh-01)
Govt's basic economic role = laws/justice	SSC CGL Tier-I, 18/09/2025 (Sh-02)
Indifference curve = same-satisfaction combos	SSC CGL Tier-I, 19/09/2025 (Sh-03)
Law of demand statement, ceteris paribus (2)	SSC CPO Tier-I, 13/12/2025 (Sh-01)
Market equilibrium statement pair	SSC Phase XIII, 30/07/2025 (Sh-02)
Liquidity trap = perfectly elastic money demand	SSC Phase XIII, 24/07/2025 (Sh-03)
Liquidity trap illustration	SSC Phase XIII, 28/07/2025 (Sh-02)
Giffen paradox = essential+inferior good dependency	SSC CPO Tier-I, 13/12/2025 (Sh-01)

A.2 — Doubts carried forward from raw extraction

"Perfectly Elastic Demand — eg gold/cars" (p.253) conflicts with "Perfect Competition — perfectly elastic, eg agri products" (p.256) — both transcribed verbatim, not reconciled. 2011 Census sector data is time-sensitive. "Parallel Economy... renders punctuation by Government punctuation" is garbled in the source (likely "sanction"), transcribed as printed. Big Push Theory credited to "A.R. Rodon" in Lucent (standard attribution: P.N. Rosenstein-Rodan) — flagged, not corrected. Money Illusion author printed "Irwin Fisher" (standard: Irving Fisher).